DEED OF SALE — RESIDENTIAL PROPERTY

1. SCHEDULE OF TRANSACTION

1.1 The Parties

The sellers named below sell the property described below to the buyers named below, on the terms that follow.

SELLER 1

Full name & surname

ID number | Marital status

Address for notices (domicilium)

Email | Cell

SELLER 2

Full name & surname

ID number | Marital status

Address for notices (domicilium)

Email | Cell

BUYER 1

Full name & surname

ID number | Marital status

Address for notices (domicilium)

Email | Cell

BUYER 2

Full name & surname

ID number | Marital status

Address for notices (domicilium)

Email | Cell

1.2 The Property

Full address (as per title deed)

All fixtures of a permanent nature are included, except these listed:

1.3 Purchase Price

Purchase price (R) | Amount in words

1.4 Deposit and Conveyancing Attorneys

Deposit (R) | Amount in words

Conveyancing attorneys (firm & person) | Address

Phone | Email

1.5 Balance and Bond

Balance payable in cash on transfer. Enter a bond amount to bring clause 5 into effect, or write N/A for cash.

Bond amount (R) — or N/A | Bond to be granted within (days)

1.6 Transfer, Occupation and Occupational Rent

Transfer scheduled for (date) | Occupation scheduled for (date) | Occupational rent (R per month)

1.7 Inspection, Special Conditions and Validity

Special conditions, if any

Inspection period (business days) | This offer is valid until (date / time)

Sellers initial: _____ Buyers initial: _____

2. WHAT IS BEING SOLD

2.1 The seller sells, and the buyer buys, the property described in clause 1.2, together with everything permanently fixed to it, except the items listed in clause 1.2. Any movable items included in the sale must be listed under special conditions in clause 1.7, and pass to the buyer on transfer.

2.2 The property is sold as it is described in the existing title deed, subject to every condition and servitude in that title deed, and subject to the rights of any municipality, provincial authority or the State. If the property is a sectional title unit, the sale includes the seller's share in the common property and any exclusive use area allocated to the section.

2.3 The buyer takes the title as the seller holds it. If a re-survey later shows the property to be larger or smaller than recorded, neither party gains or loses by that difference, and the seller need not provide any diagram or guarantee the position of the boundaries or beacons.

3. PRICE AND PAYMENT

3.1 The purchase price is the amount in clause 1.3. It includes any VAT payable.

3.2 The buyer must pay the deposit in clause 1.4 to the conveyancing attorneys when they ask for it. They must hold it in an interest-bearing trust account for the buyer's benefit, as section 86(4) of the Legal Practice Act 28 of 2014 requires.

3.3 The buyer must pay the balance to the conveyancing attorneys, or secure it by a bank guarantee acceptable to them, once they confirm in writing that the transfer documents have been lodged at the Deeds Office. Transfer will only proceed once this is done.

3.4 The parties appoint the attorneys named in clause 1.4 to attend to the transfer.

4. TRANSFER, AND WHO PAYS WHAT

4.1 The attorneys must register transfer on or about the date in clause 1.6, or as soon after that as is reasonably possible. Both parties must sign every document and supply every FICA and tax document the attorneys ask for, within a reasonable time of being asked.

4.2 The buyer pays all costs of transfer: transfer duty, the attorneys' conveyancing fees, Deeds Office fees, the cost of every compliance certificate under clause 6, and any related expense. These are payable when the attorneys ask for them.

4.3 The seller pays only for the rates clearance figures, the levy clearance figures where a body corporate or homeowners' association applies, the amounts owing on those accounts, and the cost of cancelling any existing bond over the property.

5. BOND — ONLY IF CLAUSE 1.5 RECORDS A BOND AMOUNT

5.1 If clause 1.5 records “N/A”, this sale is not subject to finance and the rest of clause 5 does not apply.

5.2 If clause 1.5 records a bond amount, this sale is subject to the buyer obtaining a loan of at least that amount, secured by a first bond over the property, within the number of days in clause 1.5, counted from the date the last party signs this agreement. The buyer must apply immediately after signature and supply everything the bank requires.

5.3 If the loan is not granted in time, the parties may extend the period in writing. Without a written extension, this agreement lapses, neither party owes the other anything, and any deposit paid is refunded to the buyer with interest.

6. COMPLIANCE CERTIFICATES

6.1 The law requires the seller to furnish the compliance certificates listed below. The buyer arranges the inspections and pays for every certificate and for any repair work needed before one can be issued, so the seller carries no cost. This covers, where they apply:

6.1.1 an electrical certificate of compliance under the Electrical Installation Regulations, made under the Occupational Health and Safety Act 85 of 1993, no older than two years on the transfer date;

6.1.2 an electric fence system certificate under Regulation 12 of the Electrical Machinery Regulations, made under the same Act, if the property has an electric fence;

6.1.3 a gas certificate of conformity from an installer registered with the Liquefied Petroleum Gas Safety Association of Southern Africa, if the property has a gas installation;

6.1.4 a plumbing certificate from an accredited plumber, if the local municipality requires one, confirming that the water installation meets the National Building Regulations and the municipal by-law, that no water runs to waste, that the meter registers, and that no stormwater discharges into the sewer; and

6.1.5 a beetle (entomologist) certificate for the accessible parts of the house, no older than six months, if the law, the municipality or the buyer's bank requires one.

6.2 Every certificate must reach the attorneys before transfer. The seller must give the buyer and the buyer's contractors reasonable access to the property to obtain them, and must sign anything needed for a certificate to be issued in the seller's name.

6.3 The seller warrants that no change has been made to the electrical or gas installation since the date of any certificate handed over. Once the certificates reach the attorneys, neither party has any further claim against the other about them.

7. OCCUPATION, RISK AND INSURANCE

7.1 The seller must give the buyer vacant occupation of the property on the date in clause 1.6.

7.2 From the occupation date the buyer is liable for rates, taxes, levies, water, electricity and other charges on the property, and the property is at the buyer's risk. If the seller has already paid any of these for a period after that date, the buyer must refund the seller pro rata.

7.3 If occupation and transfer do not happen on the same day, the party who occupies the property without holding transfer must pay the other the occupational rent in clause 1.6, monthly in advance and pro rata, until transfer.

7.4 If the buyer occupies before transfer, the buyer may not alter or add to the property before transfer. If this agreement is then cancelled or lapses, the buyer must vacate immediately and hand the property back in the condition it was in when occupation was taken, with no claim for anything spent on it.

7.5 The seller must keep the property insured for its full replacement value until transfer. If damage occurs before transfer, the seller must claim under that policy and pay the proceeds to the buyer. If this agreement is cancelled, that cession falls away.

8. INSPECTION, AND SOLD AS IT STANDS (VOETSTOOTS)

8.1 The buyer may inspect the property, its title and its accounts within the number of business days in clause 1.7, from the day after the last party signs, and the seller must give reasonable access. If the buyer is not satisfied with the condition of the property, the buyer may cancel this agreement by traceable written notice to the seller before 21:00 on the last of those days. The notice takes effect when sent, despite clauses 13.2 and 14.1. If the buyer cancels, neither party owes the other anything, and any deposit is refunded to the buyer with interest.

8.2 The property is sold voetstoots — as it stands. The buyer accepts it in its present condition, including any visible or hidden defect, and has no claim against the seller for any defect or for any loss caused by one.

8.3 The seller remains liable only for a hidden defect that the seller knew about and deliberately or fraudulently hid from the buyer.

8.4 If the buyer does not cancel under clause 8.1, the buyer confirms being satisfied with the property. The seller has given no guarantee about its condition or quality except what is written in this agreement.

8.5 The seller is not qualified to identify listed invasive species under the National Environmental Management: Biodiversity Act 10 of 2004, and the buyer accepts the risk of any such species being on the property.

9. WHAT THE SELLER PROMISES

The seller warrants that:

9.1 the seller is the registered owner of the property, or is properly authorised to sell it, and has the legal capacity to sign this agreement. If the seller is married in community of property, the spouse must also sign, as section 15(2)(a) of the Matrimonial Property Act 88 of 1984 requires;

9.2 the property is not subject to any other sale, option, right of first refusal or lease, and no court case, insolvency, sequestration or liquidation is pending that could affect this sale;

9.3 any bond registered over the property will be settled and cancelled out of the proceeds of this sale, on or before transfer;

9.4 the seller will settle every amount owing to the municipality, and to the body corporate or homeowners' association where applicable, that arose before transfer. The attorneys must confirm this to the buyer in writing before transfer. If the seller fails to pay, the seller indemnifies the buyer against any liability that follows; and

9.5 the seller does not sell property in the ordinary course of business, so the Consumer Protection Act 68 of 2008 does not apply to this sale.

10. TAX

10.1 Each seller warrants whether or not they are a South African tax resident, and confirms that their tax returns and payments to SARS are up to date, or will be brought up to date immediately so that transfer is not delayed.

10.2 If a seller is not a South African tax resident and the purchase price is more than R2 000 000, section 35A of the Income Tax Act 58 of 1962 requires the buyer to withhold part of the price and pay it to SARS towards the seller's capital gains tax. The parties irrevocably instruct the attorneys to make that deduction and payment on transfer.

11. NO ESTATE AGENT INVOLVED

11.1 No estate agent, broker or other intermediary introduced the parties to each other, introduced the property to the buyer, or took part in negotiating or concluding this sale. Neither party was introduced to the other by an agent, and no agent made any representation to either party.

11.2 No estate agent's commission is payable by either party to anyone in respect of this sale. Each party indemnifies the other against any commission claim arising from a mandate that party gave.

12. IF SOMEONE BREAKS THIS AGREEMENT

12.1 If a party fails to pay on time or breaks any other term, and does not put it right within 7 (seven) business days of written notice, the other party may either cancel this agreement or insist that it be carried out, and in either case claim damages.

12.2 If the buyer is in breach and the seller cancels, the seller may retake the property and keep what has been paid as a genuine pre-estimate of damages, subject to the Conventional Penalties Act 15 of 1962, and the buyer may not claim for any improvement made to the property. If the buyer commits an act of insolvency before the price is paid, the seller may cancel immediately without notice.

12.3 Any amount not paid on time carries interest at the prime overdraft rate of the receiving party's bank, from the due date until payment. A certificate from that bank is proof of the rate.

12.4 If either party delays transfer, the other may claim interest on the purchase price at the same rate, from the date the delaying party is given written notice to stop the delay, until transfer.

13. NOTICES

13.1 Each party's domicilium address in clause 1.1 is their address for legal notices and court process. A party may change it only by written notice to the other, and the new address must be a physical address in South Africa.

13.2 A notice is treated as received 5 (five) business days after being posted by prepaid registered post, on the day it is delivered by hand to someone who appears to be over 16 at that address, or on the day the recipient confirms receipt of an email.

14. GENERAL

14.1 **Whole agreement** — This document contains everything the parties agreed. Nothing said or promised outside it counts. No change, addition or cancellation is valid unless it is in writing and signed by both parties.

14.2 **Written and signed** — This agreement is in writing and signed by the parties, or by their agents acting on their written authority, as section 2(1) of the Alienation of Land Act 68 of 1981 requires for the sale of land.

14.3 **Cooling-off** — If a buyer is a natural person who has not reserved the right to nominate someone else, and the price in clause 1.3 is R250 000 or less, that buyer may cancel this agreement by written notice to the seller within 5 (five) days after signing, excluding Saturdays, Sundays and public holidays, as section 29A of the Alienation of Land Act 68 of 1981 allows.

14.4 **Validity of the offer** — This offer is irrevocable by the buyer and lapses if the seller has not accepted it by the date and time in clause 1.7.

14.5 **No waiver** — If one party allows the other extra time or overlooks a breach once, that party does not lose any right and may still insist on strict compliance with every term.

14.6 **Severability** — If any part of this agreement is found to be invalid, only that part falls away and the rest stays in force.

14.7 **Jurisdiction and law** — South African law governs this agreement. The parties consent to the jurisdiction of the Magistrate's Court under section 45 of the Magistrates' Courts Act 32 of 1944, even for claims above its normal limit, but either party may instead approach a higher court that has jurisdiction.

14.8 **Interpretation** — Headings are for convenience only. The singular includes the plural, one gender includes the others, and a reference to a person includes a company, trust or other legal entity.

14.9 **Business day** — Any day except a Saturday, Sunday or a South African public holiday.

Sellers initial: _____ Buyers initial: _____

15. SIGNATURES

This agreement is signed by hand in black ink. Each signatory signs in the presence of a witness, who signs alongside. Where a seller is married in community of property, the spouse must also sign.

SELLER(S)

Signed at (place) _____ On (date) _____

Seller 1

Signature _____

Full name _____

Witness to seller 1

Signature _____

Full name _____

Seller 2

Signature _____

Full name _____

Witness to seller 2

Signature _____

Full name _____

BUYER(S)

Signed at (place) _____ On (date) _____

Buyer 1

Signature _____

Full name _____

Witness to buyer 1

Signature _____

Full name _____

Buyer 2

Signature _____

Full name _____

Witness to buyer 2

Signature _____

Full name _____